

[Note from the editor: Names and companies, legal forms and product designations, addresses (including URLs, IP and email addresses), file numbers (and the like), etc., as well as their initials and abbreviations may have been abbreviated and/or altered for pseudonymization reasons. Obvious spelling, grammar, and punctuation errors have been corrected.]

## DECISION RULING

The Data Protection Authority decides on the data protection complaint of 1.) Dr. Robert A\*\*\* (first complainant) and 2.) Ediciones B\*\*\* (second complainant) dated April 4, 2022 against N\*\*\* Elektronik Gesellschaft.m.b.H. (respondent) due to alleged violation of the right to confidentiality as follows:

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The complaint is dismissed as unfounded.

Legal Basis: Art. 3, Art. 4 No. 23 lit. a and b, Art. 6 para. 1 lit. f, Art. 51 para. 1, Art. 55, Art. 56, Art. 57 para. 1 lit. f, and Art. 77 para. 1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter: GDPR), OJ No. L 119 of May 4, 2016, p. 1; §§ 1 para. 1 and para. 2, 18 para. 1, and 24 para. 1 and para. 5 of the Data Protection Act (DSG), Federal Law Gazette I No. 165/1999 as amended.

## GROUNDS

### A. Submissions of the Parties and Procedural History

1. In an introductory submission dated April 4, 2022, improved by submissions dated May 6, 2022, and May 10, 2022, the complainants alleged a violation of the right to information and confidentiality. They essentially argued that the respondent refused to provide written information about the data processed by them and that this data contained false and criminally relevant allegations. Furthermore, the acquisition of additional products was unlawfully denied based on this information. The respondent had confirmed by phone the storage of these false statements.
2. By partial decision dated June 15, 2022, the complaint of the first complainant regarding the alleged violation of the right to information was dismissed as unfounded.
3. In a submission dated June 28, 2022, the respondent replied and stated that the second complainant had purchased a PC along with accessories from the respondent in 2016 and 2021. The invoices were issued intra-Community - that is, without Austrian VAT. A confirmation of arrival for the transport abroad must be submitted to the tax office. Upon collection, the customer must sign that the product will be taken out of the country and present a corresponding power of attorney or identify themselves as a managing director. The first complainant refused to allow a copy of their ID during collection and began writing complaint emails after a few days. At their insistence, the device was credited after return. Since the respondent assumed that the device had never left Austria, they informed the complainant that they would no longer issue intra-Community invoices. After the complainant threatened with a lawyer, they were informed that the respondent was no longer interested in a further business relationship. The second complainant is registered with the respondent, but as a legal entity, it is exempt from the GDPR.
4. In a submission dated July 21, 2022, the complainants essentially repeated their previous submissions.
5. Following a request for a supplementary statement, the respondent informed in a letter dated August 3, 2022, that no personal data of natural persons was stored in their IT system.
6. Following a request for a supplementary statement, the respondent reiterated their previous submissions in a letter dated November 21, 2022, and also submitted a screenshot from their database (inventory management).
7. In a communication dated January 12, 2023, the Data Protection Authority informed the complainants that, according to § 39 para. 2 AVG, it would only examine the alleged violation of the right to confidentiality in the present proceedings and would address the alleged violation of the right to information concerning the second complainant in a separate procedure.
8. In a submission dated January 18, 2023, the complainants essentially repeated their previous

submissions. They also requested that all data records of the complainants be deleted by the respondent. The refusal to supply materials constituted a legal violation, but they were no longer interested in a business relationship anyway. The creation of a copy of an ID is a legally controversial matter in the EU, and a database was specifically introduced to avoid such problems. According to the GDPR, professional, business, and company data also constitute personal data.

#### B. Subject of the Complaint

Based on the submissions of the complainants, the subject of the complaint is the question of whether the respondent violated the complainants' right to confidentiality by storing false information and criminal allegations about the complainants in their database (customer database/inventory management system).

As already stated, the complaint, insofar as it concerned an alleged violation of the right to information, will be dealt with in a separate procedure.

#### C. Findings of Facts

The Data Protection Authority has established the following essential facts of the case:

1. The respondent is a company with limited liability registered in Austria at the LG Z\*\*\* under FN: \*3\*8\*7v. The business purpose of the respondent includes IT trading as well as services. The respondent has several branches in Austria.

2. The second complainant is a company based in Barcelona, Spain, operating in the fields of art, architecture, and design.

3. The first complainant, Dr. Robert A\*\*\*, acts as the managing director of the second complainant.

Assessment of Evidence: The findings made in this regard are based on the submissions of the parties involved in the proceedings as well as an official inquiry of the commercial register under FN: \*3\*8\*7v and an inquiry of the websites of the parties involved.

4. The second complainant purchased a PC along with accessories from the respondent in the years 2016 and 2021, with the invoices issued intra-community - that is, without Austrian VAT. The first complainant refused to allow a copy of his identification when picking up the goods purchased in 2021 and subsequently raised complaints against the respondent. The first complainant made these complaints, among other things, during a phone call.

5. The respondent stores, among other things, the following information about the second complainant in its internal customer database (formatting not reproduced 1:1):

[Note from the editor: The excerpt from the IT systems of the respondent presented here as a facsimile (graphic file) cannot be pseudonymized with reasonable effort and has therefore been removed. It contains the (short) designation, the internal number, and the address of the second complainant, as well as the following text referred to as "special information": "Customer is massively stressing on the phone and threatens with a lawyer. Customer does not allow a copy of identification. We will no longer issue intra-community invoices. Update: I informed the customer that a purchase contract must exist on both sides, and we do not want that!"]

6. It could not be established that the respondent made criminal accusations against the complainants during phone calls.

Assessment of Evidence: The findings made in this regard are based on the submissions of the parties involved in the proceedings. The findings that the first complainant did not present a copy of his identification when picking up the goods and that he subsequently raised complaints are based on the credible submissions of the respondent. The negative finding that there are no indications that the respondent made criminal insinuations against the complainants over the phone is based on the fact that the complainants failed to provide any evidence for this. Rather, the entry in the customer management system of the respondent (C.5.) suggests that the complainants interpreted the telephone communication stating that they would refrain from further business relations with them as criminal insinuations.

#### D. From a legal perspective, it follows:

##### D.1. Regarding the local jurisdiction of the DSB:

It is noted at the outset that the complainants submitted the present complaint directly to the Austrian Data Protection Authority.

According to Art. 3 para. 1 GDPR, the GDPR applies to the processing of personal data, insofar as this

takes place in the context of the activities of an establishment of a controller or a processor in the Union, regardless of whether the processing takes place in the Union.

The European Data Protection Board states in its "Guidelines 3/2018 on the territorial scope of the GDPR (Article 3)" (available on the website of the European Data Protection Board at [https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-32018-territorial-scope-gdpr-article-3-versions\\_de](https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-32018-territorial-scope-gdpr-article-3-versions_de); pp. 5-6) that Art. 3 para. 1 GDPR ensures that the GDPR applies to processing by a controller or a processor that takes place in the context of the activities of an establishment of that controller or processor in the Union, regardless of the actual location of the processing.

In this case, the respondent has several establishments in Austria and has not disputed that the processing was carried out within Austria. However, since the processing in question took place exclusively in the context of the activities of the respondent's establishments in Austria and did not have significant effects on data subjects in more than one member state, it cannot be qualified as cross-border processing within the meaning of Art. 4 para. 23 lit. a or b GDPR.

D.2. Regarding the active legitimacy of the second complainant as a legal entity

According to § 1 para. 1 DSG, everyone has the right to confidentiality of their personal data, provided that there is a legitimate interest in doing so. The existence of such an interest is excluded if data, due to their general availability or because of their lack of traceability to the data subject, are not accessible to a confidentiality claim.

According to § 4 para. 1 DSG, the provisions of the GDPR and the DSG apply to the wholly or partially automated processing of personal data of natural persons as well as to the non-automated processing of personal data of natural persons that are stored or are to be stored in a filing system.

According to the will of the legislator, the statutory provisions of the DSG, including the complaint under § 24 DSG, are therefore limited to the protection of natural persons. However, the data protection authority has repeatedly stated that § 1 DSG also protects legal entities. An interpretation of the statutory provisions—especially §§ 4 and 24 DSG—that grants only natural persons the possibility of filing a complaint with the data protection authority, while excluding legal entities, would attribute an unconstitutional content of inequality to these provisions in light of § 1 DSG. It cannot be assumed that the legislator intended to treat legal entities significantly disadvantageously compared to natural persons in the pursuit of their constitutionally guaranteed rights without a comprehensible reason (see the decision of May 25, 2020, GZ: 2020-0.191.240, with references).

That it is possible for the national legislator to provide for a purely national concept of the protection of personal data of legal entities has been affirmed by the CJEU (see in this sense the judgment of the CJEU of December 10, 2020, C-620/19, para. 47), so that the aforementioned case law of the data protection authority is not in contradiction. By including the protection of legal entities in the fundamental right to data protection under § 1 DSG, neither the level of protection of the EU Charter of Fundamental Rights nor the primacy, unity, and effectiveness of Union law is affected (see in this sense the judgment of the CJEU of February 26, 2013, C-399/11, para. 60).

Since, as already stated above, the matter at hand does not involve cross-border processing within the meaning of Art. 4 No. 23 lit. a or lit. b GDPR, the second complainant was therefore able to assert a violation of her right to confidentiality under § 1 para. 1 DSG with the DSB.

Based on these considerations, it can be assumed that the requirements of Art. 3 para. 1 GDPR are met, thus the first complainant as a natural person as well as the second complainant as a legal entity are legitimized to exercise their right to complain under Art. 77 GDPR or § 24 para. 1 DSG with the Austrian data protection authority as the competent supervisory authority according to Art. 55 GDPR for filing a complaint.

D.3. Regarding the limitation of the confidentiality claim:

In this case, the complainants are thus actively legitimized to file a complaint according to § 1 DSG before the data protection authority as the competent supervisory authority.

The GDPR and, in particular, the principles enshrined therein must be taken into account when interpreting the right to confidentiality (see the decision of the DSB of October 31, 2018, GZ DSB-D123.076/0003-DSB/2018).

In this case, the scope of application of § 1 para. 1 DSG is opened, as the information according to Art.

4 No. 1 GDPR relates to the complainants.

Restrictions on the claim to confidentiality are permissible according to § 1 para. 2 DSG if personal data is used in the vital interest of the data subject, if the data subject has given their consent (or in the terminology of the GDPR: approval), if there is a qualified legal basis for the use, or if the use is justified by overriding legitimate interests of a third party.

As can be seen from the findings, the respondent has recorded in its database the note visible under C.5, which indicates that due to the behavior of the first complainant, no contracts will be concluded with the complainants in the future.

As an expression of the general idea of private autonomy, the principle of freedom of contract applies in the law of obligations, which also includes the freedom to decide whether and with whom a contract is concluded (RIS - RS0013940). There are also no indications of a monopoly position of the respondent that would restrict this.

Contrary to the assertions of the complainants, the note in the internal inventory management system of the respondent does not constitute criminal allegations, nor is there any inaccuracy to be recognized in light of the purpose of the entry, thus the processing of the data. If this is merely a documentation of opinions or assessments, the data is correct from a data protection perspective if this opinion or assessment is accurately represented (see the decision of the Data Protection Commission of March 21, 2007, K121.246/0008-DSK/2007).

In this case, it is an internal note in the customer database/inventory management system of the respondent, through which the employees of the respondent can see that they will refrain from further contractual agreements with the complainants.

In light of the private autonomy granted to the respondent, no unlawful data processing can be seen in this note; rather, it represents, in the opinion of the data protection authority, a legitimate interest according to § 1 para. 2 DSG and Art. 6 para. 1 lit. f GDPR of the respondent to document in its internal inventory management system that it intends to refrain from future contractual agreements with certain (legal) persons with whom there have been conflicts in previous business contacts.

The complaint is thus ultimately found to be unfounded.

Finally, it is reiterated that the alleged violation of the right to information of the second complainant will be addressed in a separate proceeding.

It was therefore to be decided accordingly.